

9.6

Other Operating Expenses

After understanding depreciation and amortisation in the last section, we shall discuss other operating expenses. The company groups a lot of expenses under "other expenses" in the Income Statement. We need to go through the same and identify the important ones (as we already did while entering raw numbers) and understand each of these as a percentage of revenue and how they are changing over time.

Other operating expenses:						
Clearing, forwarding and octroi duty	4%	4%	4%	4%	4%	5%
Advertisement and Publicity	3%	3%	3%	3%	4%	2%
Contract labour	0%	0%	1%	1%	1%	1%
Other operating expenses:	10%	11%	10%	10%	10%	9%
Total operating expense	75%	74%	78%	83%	81%	80%
EBIT	19%	19%	20%	17%	19%	20%
Non - operating Revenue:						
Interest	0%	0%	0%	0%	0%	0%
Dividend	0%	0%	0%	0%	0%	0%

This includes clearing, forwarding, and octroi duty, advertising and publicity expenses, and more. We need to identify trends in all these operating expenses.

First, we need to identify activities that are long term value building. Long-term value-building includes marketing, advertising, etc., that builds value for companies over the next five years or in the long term. This is in contrast to things that cause immediate expenses, such as logistics, that are unavoidable.

